



MONTHLY NEWSLETTER

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Bandish Suresh Raut AMFI registered
Mutual Fund Distributor



+91 9833559143



contact@surabhifinserv.com



www.surabhifinserv.com

Monthly Commentary

Indian markets extended their momentum in November 2025, with both the **Nifty and Sensex closing near all-time highs**, comfortably above the key sentiment levels of **26,000** and **85,000**. Large caps led the rally this month, even though FII continued to remain net sellers. Domestic investors once again stepped in strongly — **DII recorded net buying of nearly ₹38,200 crore**, providing stability and support to the market.

Sector performance was mixed, with **Automobiles, IT, Banking, Financial Services, and Telecom** emerging as the top gainers. On the other hand, sectors such as **Realty, Power, Infrastructure, Metals, Capital Goods, Oil & Gas, and FMCG** underperformed. As we move into the final leg of the year, the market may continue to witness **sector rotation**, which is typical during late-cycle rallies.

Globally, markets were quieter. The major US indices ended the month flat, while **Japan's Nikkei** and **Germany's DAX** corrected. The **FTSE (UK)** and **CAC (France)** held steady. Chinese equities slipped, with the **Shanghai Composite down 1.4%**. Meanwhile, signs of a weakening US job market have increased expectations of a **Federal Reserve rate cut in the December FOMC meeting**, which could influence global liquidity flows.

In commodities, **gold continued its remarkable run**, rising another **4.6% in November**. Expectations of a Fed rate cut, rising US government debt, geopolitical uncertainty, and a softer US dollar are all supporting gold prices. With India entering the peak wedding season, domestic demand may push prices even higher. **Silver remains one of the standout asset classes of 2025**, with prices having nearly doubled this year. Crude oil prices, however, declined and slipped below the **\$60 per barrel** mark.

The **Indian rupee weakened to record lows in November**, pressured by a widening trade deficit, continued FII outflows, and uncertainty around Indo-US trade negotiations. Bond yields were largely stable — **the 10-year yield remained flat**, while the **1-year yield softened by 15 bps**.

India's **Q2 GDP growth surprised positively**, coming in at **8.2%**, the fastest in six quarters. Despite headwinds from US tariff actions, strong domestic consumption continues to support growth. In the mutual fund space, beyond Gold and Silver FOFs, categories such as **Multi-Asset Allocation, BFSI and IT sectoral funds**, and **Large-cap funds** were among the better performers.

As we step into the final month of the year, the market will focus on three major events:

- **RBI's December MPC meeting,**
- **progress in Indo-US trade talks,** and
- **the upcoming Union Budget (January 2026).**

Sentiment remains broadly positive, and favourable news could fuel the next leg of the rally. However, investors should stay disciplined, maintain asset allocation, and continue investing through SIPs — a consistent approach remains the most effective way to benefit from long-term market growth.

Market Round-Up

Domestic Equity Market: Market near all-time high

Sensex

▲ 2.1% MOM

Oct 2025 83,938

Nov 2025 85,707

Nifty

▲ 1.9% MOM

Oct 2025 25,722

Nov 2025 26,203

Nifty 100 (Large Cap)

▲ 1.4% MOM

Oct 2025 26,369

Nov 2025 26,738

Nifty 500 (Broad Market)

▲ 0.9% MOM

Oct 2025 23,710

Nov 2025 23,993

*Index values are closing prices on the last trading sessions of the respective months

Domestic Debt Market: Long Term Yields remain flat, Short Term Yields soften

10 year G-Sec Yield* (%)

■ Flat

Oct 2025 6.53%

Nov 2025 6.53%

364 Day T-Bill Yield* (%)

▼ - 15 bps MOM

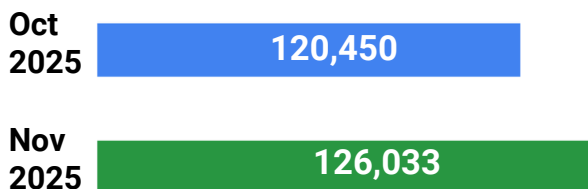
Oct 2025 5.62%

Nov 2025 5.47%

Commodities Market: Precious metals make new highs

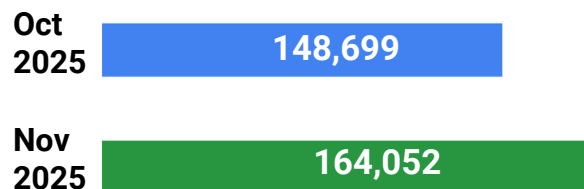
Gold (INR per 10 grams)

▲ 4.6% MOM



Silver (INR per kg)

▲ 10.3% MOM

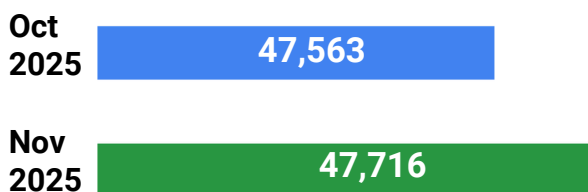


*Commodity prices are based MCX commodity closing spot prices on the last trading sessions

Global Markets: US market flat, China up

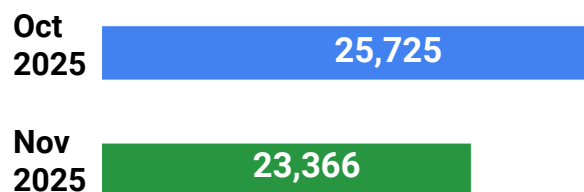
Dow Jones

▲ 0.32% MOM



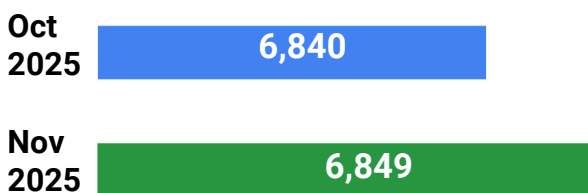
Nasdaq 100

▼ - 1.5% MOM



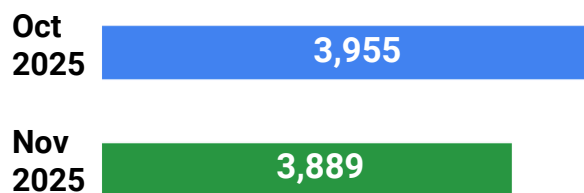
S&P 500

▲ 0.13% MOM



Shanghai Composite

▼ - 1.7% MOM



*Index values are closing prices on the last trading sessions of the respective months

Featured Insight: The Market Cycle Playbook – How Smart Investors Read Bulls, Bears & Sideways Markets

Most investors focus on “what to buy,” but the real edge often lies in understanding where the market currently stands. Markets don’t move in straight lines – they move in cycles. Recognising these phases helps investors avoid emotional decisions, stay disciplined, and position their portfolios for the next phase rather than the last one.

2025 has already offered examples of how global news, domestic flows, and sentiment can shift the market tone. A Market Cycle Playbook helps you navigate all of this with clarity.

1. The Four Phases of a Market Cycle

While cycles don’t follow a perfect script, history shows four broad phases:

1. Accumulation Phase

This usually occurs after a correction or bear market. Prices stabilise, sentiment improves slowly, and long-term investors quietly build positions.

Characteristics:

- Valuations become reasonable
- FIIIs may still be cautious, but DIIs (through SIPs) provide steady support
- Volatility decreases
- News flow gradually turns from negative to neutral

Smart investors increase equity exposure gradually; focus on SIPs, flexi-cap funds, and diversified portfolios.

2. Momentum / Bull Phase

Confidence returns. Earnings pick up, global cues support flows, and retail participation rises.

Characteristics:

- Indices hit new highs
- Broader market participation improves – mid & small caps outperform
- Flows from DIIs and FIIIs are positive
- IPO markets become active
- News flow is overwhelmingly positive

Smart Investors Stay invested. Avoid chasing speculative rallies. Stick to asset allocation and rebalance if equity weight rises too much.

3. Distribution / Overheated Phase

This is where markets begin showing signs of fatigue despite hitting new highs.

Characteristics:

- Valuations become stretched
- Sharp sector rotations
- Small and midcaps rise too quickly
- Analysts turn overly optimistic
- FII flows become erratic

Smart Investors remain cautious. They rebalance their portfolios. Shift some gains to debt or hybrid funds.

4. Correction / Bear Phase

A correction is part of every cycle — triggered by global risks, geopolitical shocks, domestic policy uncertainty, or profit-booking after long rallies.

Characteristics:

- Indices decline 10–20%+
- Volatility rises
- Retail investors panic; but SIP flows continue
- Good stocks also correct

Smart Investors continue their SIPs. Avoid exiting in fear. Use dips to build long-term positions. Corrections create future wealth for disciplined investors.

2. What Drives Market Cycles?

A. Liquidity Flows (FII + DII)

India in recent years has seen a structural shift: **DIIs now counterbalance FIIs.**

Even if FIIs sell due to global concerns, SIP flows (~₹25,000+ crore per month) create a strong domestic demand floor.

This is why corrections in 2024–25 were controlled despite heavy FII outflows.

B. Earnings Growth

Sustained bull markets are built on earnings, not sentiment. When corporate profits grow 12–15%+, markets stay in the momentum phase longer.

C. Sentiment & Global Risk

Trade wars, oil prices, inflation, and Fed decisions often trigger transitions between phases — not due to fundamentals, but due to fear and money flow shifts.

3. Why Every Investor Needs a Market Cycle Playbook

A. It prevents emotional investing

Most investors buy aggressively in euphoric phases and panic-sell during corrections. Recognising the cycle helps avoid these traps.

B. It keeps asset allocation disciplined

If equity allocation balloons after a bull run, the playbook reminds you to rebalance — harvest profits and reduce risk.

C. It sets realistic return expectations

Returns are not linear. Some years give 20%, others give 3%. Understanding cycles helps maintain long-term conviction.

4. Where Is India Right Now? (Late 2025 View)

Based on flows, earnings, and valuations:

- India appears to be between the Momentum and Distribution phase.
- Domestic flows remain strong; however, valuations in mid and small caps are stretched.
- Global cues (Fed policy, crude, geopolitical tensions) are affecting sentiment intermittently.

This means:

- Staying invested is essential
- But chasing overvalued pockets is risky
- Rebalancing is wise
- SIPs remain the most effective tool across cycles

The Takeaway

Market cycles are not threats; they are opportunities.

Bull markets reward discipline; corrections create wealth; sideways markets test patience.

Your role is not to predict cycles — but to use them intelligently.

A good investor doesn't fight the cycle...

They prepare for it.

And with India's long-term growth story intact, the best returns still belong to those who stay invested through every phase.

Explainer: Understanding the Sharpe Ratio – The Most Important Measure of Fund Quality

When investors compare mutual funds, most people look only at **returns**. But returns alone can be misleading. A fund that delivered 14% may look better than a fund that delivered 12% – until you realise the first fund took far more **risk** to get there.

This is where the Sharpe Ratio becomes one of the most powerful tools in investing. It helps you understand not just how much a fund earned, but how efficiently it earned those returns.

In simple words:

Sharpe Ratio tells you how much return a fund generated for every unit of risk it took.

It is the single most important metric to judge the quality and consistency of a fund's performance.

1. What Exactly Is the Sharpe Ratio?

Here is the standard formula:

Sharpe Ratio = (Fund Return – Risk-Free Return) / Standard Deviation

Where:

- **Fund Return** → Average return of the fund over a period
- **Risk-Free Return** → Typically a 3–6 month Treasury bill rate
- **Standard Deviation (SD)** → Measures volatility or “ups-and-downs” in the fund

A fund that gives high returns with high volatility will have a lower Sharpe.

A fund that gives moderate returns with low volatility may have a higher Sharpe.

Interpretation

- **Sharpe Ratio above 1.0** → Excellent
- **Sharpe Ratio between 0.5 – 1.0** → Good
- **Sharpe Ratio below 0.5** → Weak (too much volatility for the return generated)

This is why risk-adjusted returns matter far more than raw returns.

2. A Simple Example — Returns Alone Can Fool You

Assume the risk-free rate = 5%

Fund A:

- Return = 12%
- SD = 10%

$$\text{Sharpe A} = (12 - 5) / 10 = 0.70$$

Fund B:

- Return = 14%
- SD = 18%

$$\text{Sharpe B} = (14 - 5) / 18 = 0.50$$

Even though Fund B has a higher return, Fund A has a higher Sharpe Ratio — meaning Fund A generated returns **more efficiently** and with **less stress** for the investor.

This is exactly why Sharpe Ratio helps you avoid high-risk, unstable funds that “look good on paper” but behave poorly in real-world markets.

3. Why Sharpe Ratio Is So Useful for Investors

A. Helps identify stable, consistent performers

Smoother funds (lower volatility) tend to perform better over long periods. Sharpe Ratio highlights such funds easily.

B. Protects you from funds that take unnecessary risk

A fund showing 20% return but with a Sharpe of 0.3 is a red flag — the fund may be taking too much risk for little additional reward.

C. Helps compare funds across categories

You can compare:

- Large-cap vs Multi-cap
- Hybrid vs Equity
- Fund A vs Fund B

Sharpe Ratio makes comparisons fair by adjusting for volatility.

D. Supports disciplined portfolio building

Funds with higher Sharpe ratios tend to fare better during corrections and sideways markets, offering emotional comfort and long-term stability.

5. How Investors Should Use Sharpe Ratio Practically

Use it when shortlisting funds

If two funds have similar returns, choose the one with the **higher Sharpe Ratio**.

Use it during your annual portfolio review

A falling Sharpe Ratio over time may indicate:

- Higher volatility in the fund
- Change in investment style
- Market-cycle risk
- Deviation from mandate

Use it to align with your own risk tolerance

If you prefer steadier returns, target funds with consistently higher Sharpe ratios.

The Takeaway: Returns Tell You the Story. Sharpe Ratio Reveals the Truth.

Sharpe Ratio helps answer the most important question in investing: Did the fund reward me enough for the risk it took?

For long-term wealth creation, investors don't just need high returns — they need **high-quality returns**.

And Sharpe Ratio is the cleanest, simplest way to measure that quality.

Mutual Fund Category Returns Monitor - Equity Trailing Returns

Category Name	Returns as on - 28-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: Thematic-International	3.48	0.11	5.21	15.0	19.25	18.4	16.38	9.38	10.92	10.6
Equity: Thematic-Transportation	0.99	0.85	7.1	17.06	18.02	16.09	25.71	24.09	12.81	20.22
Equity: Sectoral-Banking and Financial Services	1.1	1.54	9.74	7.89	16.63	15.04	16.25	17.05	13.98	15.55
Equity: Large Cap	0.66	0.72	5.71	5.46	7.73	6.88	14.41	16.3	12.93	13.56
Equity: Thematic-Energy	-0.46	-1.13	5.03	2.63	8.03	5.61	17.77	21.27	18.39	8.7
Equity: Large and Mid Cap	0.79	0.34	5.34	5.83	5.0	5.35	18.01	20.05	14.91	14.33
Equity: Focused	0.66	0.17	5.21	5.18	5.37	4.76	15.55	17.73	13.85	14.98
Equity: Contra	0.8	0.5	5.6	5.9	5.41	4.55	19.65	22.74	16.47	15.44
Equity: Mid Cap	0.87	0.28	4.79	6.43	2.97	4.52	21.34	22.91	16.24	18.15
Equity: Flexi Cap	0.6	0.01	4.94	5.42	3.95	4.17	15.99	17.93	14.21	14.23
Equity: Thematic-Innovation	0.45	-1.05	3.26	7.64	2.17	4.02	19.62	20.5	0.0	14.6
Equity: Thematic-Quantitative	0.62	1.05	6.27	5.43	4.81	3.91	17.08	16.62	14.75	11.99
Equity: Thematic-Others	0.43	-0.1	4.54	4.16	4.41	3.75	17.13	20.84	14.34	11.43
Equity: Value	0.53	0.56	6.21	5.11	4.48	3.73	18.67	21.02	14.7	15.5
Equity: ELSS	0.55	0.09	4.83	4.61	3.7	3.65	16.24	18.21	14.17	14.66

Category Name	Returns as on - 28-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: Multi Cap	0.66	-0.09	4.66	5.3	3.32	3.64	18.43	21.27	14.99	15.06
Equity: Thematic-Manufacturing	0.5	-0.61	4.38	5.04	3.48	3.59	21.95	23.55	15.14	10.26
Equity: Thematic-ESG	0.64	0.4	5.05	3.93	4.72	3.47	14.19	16.83	12.82	14.75
Equity: Thematic-Special-Opportunities	0.23	0.02	6.16	7.46	3.04	3.4	19.03	19.39	0.0	6.87
Equity: Dividend Yield	0.4	0.34	5.74	4.68	4.89	3.34	18.7	21.3	14.72	14.62
Equity: Sectoral-Pharma and Healthcare	1.02	0.36	2.14	5.28	-1.47	2.8	22.11	16.87	12.41	15.23
Equity: Thematic-Business-Cycle	0.57	-0.3	4.39	5.03	2.26	2.36	17.45	21.14	13.49	12.6
Equity: Thematic-PSU	-0.62	0.42	9.3	2.54	7.26	2.14	26.74	29.66	15.55	14.4
Equity: Thematic-Consumption	0.02	-1.4	1.4	5.4	2.07	1.87	15.87	18.61	14.61	11.04
Equity: Thematic-MNC	0.71	-0.04	3.12	5.02	1.7	1.26	12.02	13.83	9.9	12.92
Equity: Thematic-Multi-Sector	0.37	1.66	8.83	3.77	-19.27	0.0	0.0	0.0	0.0	-18.73
Equity: Sectoral-Infrastructure	-0.02	-1.35	3.68	2.25	0.06	-0.82	22.38	27.43	15.67	12.73
Equity: Sectoral-FMCG	-0.12	-1.69	-0.84	-0.73	-0.14	-2.15	7.47	13.58	11.37	15.57
Equity: Sectoral-Technology	0.74	0.72	4.58	5.1	-4.57	-2.23	15.57	18.62	17.19	11.35
Equity: Small Cap	0.38	-1.8	2.52	3.17	-3.04	-2.44	19.01	24.91	16.73	16.74
Equity: Thematic-Active-Momentum	1.08	0.01	4.47	4.96	-15.29	-10.69	0.0	0.0	0.0	8.54

Returns Range:

Returns < 100 to >= -5	Returns < -5 to >= -8	Returns < -8 to >= -10	Returns < -10 to >= -15	Returns < -15 to >= -20	Returns < -20
Returns > 0 to <= 5	Returns > 5 to <= 8	Returns > 8 to <= 10	Returns > 10 to <= 15	Returns > 15 to <= 20	Returns > 20

Mutual Fund Category Returns Monitor - Hybrid Trailing Returns

Category Name	Returns as on - 28-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Hybrid: Multi Asset Allocation	1.0	1.81	7.84	9.34	14.4	13.9	17.38	17.68	13.26	14.17
Hybrid: Equity Savings	0.2	0.51	2.77	3.92	6.24	6.75	9.86	9.69	8.15	7.84
Hybrid: Arbitrage	0.04	0.51	1.35	2.8	5.58	6.28	6.88	5.53	5.68	5.44
Hybrid: Conservative	0.21	0.39	2.42	2.08	5.93	6.21	8.83	8.74	7.76	8.65
Hybrid: Balanced	0.37	0.32	3.79	3.83	5.79	6.08	0.0	0.0	0.0	13.46
Hybrid: Aggressive	0.56	0.26	4.35	4.49	5.93	6.01	14.14	15.69	12.13	13.0
Hybrid: Dynamic Asset Allocation	0.42	0.43	3.95	3.98	5.69	5.76	11.72	11.56	10.04	10.28

Returns Range:

Returns < 100 to >= -5
Returns < -5 to >= -8
Returns < -8 to >= -10
Returns < -10 to >= -15
Returns < -15 to >= -20
Returns < -20
Returns > 0 to <= 5
Returns > 5 to <= 8
Returns > 8 to <= 10
Returns > 10 to <= 15
Returns > 15 to <= 20
Returns > 20

Mutual Fund Category Returns Monitor - Fund-of-Funds Trailing Returns

Category Name	Returns as on - 28-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Fund of Funds-Domestic-Silver	8.13	16.22	37.67	63.48	84.85	80.68	35.59	0.0	0.0	41.0
Fund of Funds-Domestic-Gold and Silver	5.1	11.62	29.44	42.95	71.43	70.17	33.14	0.0	0.0	25.97
Fund of Funds-Domestic-Gold	2.5	7.89	23.23	30.15	62.05	61.9	31.78	19.2	15.96	22.72
Fund of Funds-Overseas	4.64	0.33	8.12	21.22	27.53	27.85	22.6	11.66	10.72	12.24
Fund of Funds-Domestic-Hybrid	0.81	1.15	5.64	6.57	10.95	11.07	15.23	14.69	12.14	12.2
Fund of Funds-Domestic-Debt	0.19	0.55	3.07	2.81	7.8	7.74	10.52	12.74	7.33	8.36
Fund of Funds-Domestic-Equity	0.53	0.01	5.06	5.67	8.09	7.43	17.27	17.8	15.03	10.2
Fund of Funds-Income Plus Arbitrage	0.11	0.5	1.67	2.6	6.71	7.07	9.3	8.54	7.95	4.9

Returns Range:

Returns < 100 to >= -5
Returns < -5 to >= -8
Returns < -8 to >= -10
Returns < -10 to >= -15
Returns < -15 to >= -20
Returns < -20
Returns > 0 to <= 5
Returns > 5 to <= 8
Returns > 8 to <= 10
Returns > 10 to <= 15
Returns > 15 to <= 20
Returns > 20

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